

An appraisal is based on what similar properties in your area have sold for recently. Lots of ambiguity in that sentence, right? “Similar properties” and “in your area” and “recently”: That leaves a lot of room for interpretation.

The number one rule of real estate is location, location, location. Because only one home exists in exactly the same location, there is never a duplicate for an easy comparison. The best anyone can do is compare the sold prices of “similar” homes, but even a similar property will not be identical. Even in a cookie-cutter subdivision, the same model will have different finishes—so “similar” is all we’ve got.

The appraiser will pull a list of homes within a half-mile radius that have sold in the last three to six months that have the same number of bedrooms and bathrooms as the home you’re purchasing. If they don’t get enough hits, they’ll widen the search. What comes out of this is an apples-to-apples comparison—and even if the results are all different *types* of apples, they’re similar enough to understand the value of your new home.

The appraiser will settle on a single number. That number determines your fate. If the appraised value of your home is *more* than the amount of your loan, you and your loan are safe. On the other hand, if the appraised value of your home is *less* than the amount of your loan, you might be in trouble. You have four options in order to proceed:

1. The seller can agree to reduce the purchase price, and you can make an amendment to the contract. This is the easiest solution but also the one sellers like least (for obvious reasons). If the appraisal comes in below your offer price, you should pursue this option first.
2. You can bring the difference to the table out of your own pocket so the loan amount does not exceed the home’s value. Your lender won’t allow you to finance the difference—you must pay in cash. If you still want the house and the seller won’t drop the price, you’ll have to pony up the difference at closing. (Note that this is not an option for VA loans.)
3. You can back out of the purchase entirely. If you have a home appraisal contingency, you are allowed to cancel the contract and get your earnest money back—so long as you and your agent fill out the proper forms and submit them before the deadline specified in your contract.